

Calendar Line 2

Case Name: *Rebeca Castillo v. Hain Celestial Group, Inc.*

Case No.: 24CV439064

This is an action for alleged mislabeling of products intended for children by Defendant Hain Celestial Group, Inc. (“Defendant” or “Hain Celestial”). Before the Court is Defendant’s motion to stay this action pending resolution of an appeal in the federal action entitled *Howard v. Hain Celestial Group, Inc.* (“*Howard*”). Plaintiff Rebeca Castillo (“Plaintiff”) opposes the motion. As discussed below, the Court DENIES Defendant’s motion.

I. BACKGROUND

A. Factual

Plaintiff alleges that Defendant misbrands its baby and toddler food products with nutrient content claims on the product packages that are prohibited by the Food and Drug Administration (“FDA”). (Complaint, ¶ 2.) According to Plaintiff’s operative Complaint, Defendant manufactures, distributes, markets, advertises, and sells a variety of baby and toddler food products under the brand name “Earth’s Best” (the “Products”). (*Id.*, ¶ 11, Exhibit A.) Defendant categorizes its food products on its website into two groups: 1) Infant & Baby Foods; and 2) Toddler Foods. (*Id.*, ¶ 13.) Defendant defines “toddler” to be a child under two, and is aware that “toddlers” is commonly understood by parent-consumers to mean that age range, while the Centers for Disease Control (“CDC”) defines the term as “1-2 years of age.” (*Id.*, ¶¶ 16-18.) Defendant intends that its products be used by children under 2 and, for example, utilizes Sesame Street characters to make the products more appealing to that demographic. (*Id.*, ¶¶ 22-29.) Defendant also places its Products in the baby food aisle in the grocery store so that they will be marketed to and purchased by parents of children under the age of two. (*Id.*, ¶ 40.)

At least some of the Products include the language “For ages 2 and up” or a similar statement, in small font above the nutrition facts panel on the *back* label of the Products, but no statement on the front or in proximity to the nutrient content claims on the front label to alert consumers to view the disclaimer on the back and understand that these claims are made only for purchases to feed children age two *and over*. (Complaint, ¶ 46.)

Plaintiff alleges that Defendant’s marketing and labeling of the Products violates State and Federal food labeling laws- particularly 21 C.F.R. § 101.13, subd. (b)(3) and California Health & Safety Code §§ 110600 et seq.²- because they are intended specifically for children less than two years of age and the Products’ labels contain express nutrient content claims. Under these laws, no nutrient content claims may be made on food intended specifically for use by infants and children under 2. (Complaint, ¶¶ 55, 56, 65, 66, 69.)

B. Procedural

Based on the foregoing, Plaintiff initiated this action with the filing of the Complaint on May 15, 2024, which asserts the following causes of action: (1) unlawful, unfair and fraudulent trade practices in violation of Business & Professions Code § 17200 et seq. (the “UCL”); and (2) declaratory relief.

In January 2022, the plaintiff in *Howard*- represented by Plaintiff’s counsel here- filed a putative class action against Hain Celestial in the Northern District of California alleging that the company “misbrands its baby and toddler food products with nutrient content claims on the product packaging that the Food and Drug Administration (‘FDA’) strictly prohibits,” particularly 21 C.F.R. § 101.13, subdivision (b)(3). (Declaration of Alexander M. Smith in Support of Motion to Stay Proceedings (“Smith Decl.”), ¶ 2, Ex. 1.) The plaintiffs asserted

² The requirements of the federal Food, Drug & Cosmetic Act (“FDCA”), and its labeling regulations, including those set forth in 21 C.F.R. § 101, were adopted by the California legislature in the Sherman Food Drug & Cosmetic Law (the “Sherman Law”) (Cal. Health & Safety Code, §§ 110100).

claims for (1) violation of the California Consumer Legal Remedies Act (“CLRA”) (Civ. Code, § 1750, et seq.), (2) false advertising (Bus. & Prof. Code, § 17500, et seq.); (3) common law fraud, deceit and/or misrepresentation; (4) violation of the UCL; and (5) unjust enrichment. In February 2024, the Court (Hon. Chhabria) denied the plaintiffs’ motion for class certification, and they proceeded to litigate their individual claims.

After fact discovery concluded, Hain Celestial moved for summary judgment. On February 5, 2025, the Court issued an order granting Hain Celestial’s motion and entered judgment in the company’s favor on February 22, 2025. (Smith Decl., ¶ 5.) Relying on language from the FDA’s final rule, Judge Chhabria found that 21 C.F.R. § 101.13(b)(3) prohibits nutrient content claims only on products intended *primarily* for children under two. (See *Howard v. Hain Celestial Grp., Inc.* (N.D. Cal. Feb. 5, 2025) 2025 U.S. Dist. LEXIS 21091.) He also concluded that the plaintiffs failed to submit evidence that the products were intended primarily for children under two, as would be required to establish a predicate violation of 21 C.F.R. § 101.13(b)(3)—and, by extension, a violation of the UCL’s “unlawful” prong. (See *Ibid.*) The plaintiffs then appealed the summary judgment order, as well as the Court’s prior order denying class certification. The appeal is fully briefed, and according to Defendant, the Ninth Circuit has indicated that it will hold argument on the appeal this July or August.³ (*Id.*, ¶ 6, Ex. 3.)

II. MOTION TO STAY PROCEEDINGS

A. Legal Standard

A court ordinarily has inherent power, in its discretion, to stay proceedings when a stay will accommodate the ends of justice. (*OTO, L.L.C. v. Kho* (2019) 8 Cal.5th 111, 141.) “As the court in *Landis v. North American Co.* (1936) 299 U.S. 248, 254, 57 S.Ct. 163, 81 L.Ed.

³ According to Defendant, if oral argument is held in July or August 2026, an opinion is likely to be issued by the end of the year. (See Smith Decl., ¶ 7, Ex. 4 [table from Administrative Office of the U.S. Courts reflecting an average of 3.9 months from oral argument to a final decision in the Ninth Circuit].)

153 explained, ‘the power to stay proceedings is incidental to the power inherent in every court to control the disposition of the causes on its docket with economy of time and effort for itself, for counsel, and for litigants.’ ” (*Ibid.*)

“Granting a stay in a case where the issues in two actions are substantially identical” is “a matter addressed to the sound direction of the trial court.” (*Thomson v. Continental Ins. Co.* (1967) 66 Cal.2d 738, 746 (*Thomson*); see also *Simmons v. Superior Court* (1950) 96 Cal.App.2d 119, 123.) Specifically, “when a federal action has been filed covering the same subject matter as is involved in a California action, the California court has the discretion but not the obligation to stay the state court action.” (*Caiafa Prof. Law Corp. v. State Farm Fire & Cas. Co.* (1993) 15 Cal.App.4th 800, 804 (*Caiafa*).) The stay is justified by the principle of comity. (See *Gregg v. Superior Court* (1987) 194 Cal.App.3d 134, 136 (“*Gregg*”).)

“In exercising its discretion the court should consider the importance of discouraging multiple litigation designed solely to harass an adverse party, and of avoiding unseemly conflicts with the courts of other jurisdictions. It should also consider whether the rights of the parties can best be determined by the court of the other jurisdiction because of the nature of the subject matter, the availability of witnesses, or the stage to which the proceedings in the other court have already advanced.” (*Farmland Irrigation Co. v. Dopplmaier* [(1957)] 48 Cal.2d [208,] 215 [(“*Farmland*”)].) The California Supreme Court also has isolated another critical factor favoring a stay of the state court action in favor of the federal action[:] ... the federal action is pending in California [and] not some other state. (*Thomson v. Continental Ins. Co.*, *supra*, 66 Cal.2d at p. 747.) (*Caiafa*, *supra*, 15 Cal.App.4th at p. 804.)

B. Discussion

In its motion, Hain Celestial maintains that this action should be stayed pending the Ninth Circuit’s resolution of the appeal in *Howard* because summary judgment in the instant action “will largely hinge on the meaning of 21 C.F.R. § 101.13(b)(3)” given the legal theory advanced by plaintiffs in *both* actions that the products at issue are “misbranded” because they

contain nutrient content claims that 21 C.F.R. § 101.13(b)(3) “strictly prohibits,” and thus the Ninth Circuit will “inevitably address” the meaning of this regulation in deciding the appeal. Defendant acknowledges that whatever decision is made by the Ninth Circuit is not binding on this Court, but assert that it will be “persuasive and entitled to great weight.” (Reply at 7:15, quoting *Etcheverry v. Tri-Ag Serv., Inc.* (2000) 22 Cal.4th 316, 320.) Defendant continues that a stay will conserve party and judicial resources by ensuring that the parties have the benefit of the Ninth Circuit’s decision when briefing summary judgment in this action, and will also reduce the possibility of inconsistent rulings, which would be an especially problematic outcome because Hain Celestial would have no guidance as to the legality of its labeling, thereby undermining Congress’s goal of creating a “uniform federal scheme of food regulation.” (Reese v. Odwalla, Inc. (N.D. Cal. 2014) 30 F.Supp.3d 935, 939.) Hain Celestial lastly asserts that Plaintiff would not suffer any prejudice as a result of a stay as she has expressly alleges that she “will never buy the Products again under any circumstances.” (Complaint, ¶ 89.)

In her opposition, Plaintiff emphasizes that whatever decision the Ninth Circuit makes will not bind this Court and insists that the factual record in this case differs from that in *Howard*, explaining that Hain Celestial produced over 30,000 pages of documents in this action that were not produced in the federal action. She further asserts that a stay will not conserve resources because, as fact and expert discovery is closed and Hain Celestial requested a stay on the eve of filing a motion or summary judgment in this case, the majority of work in this action is already done. Finally, she notes that the Ninth Circuit’s opinion will not necessarily end the *Howard* plaintiffs’ appeal- the Court of Appeal may remand to the district court for relevant factual findings, and either party may petition for a rehearing *en banc* or file a writ of certiorari to the United States Supreme Court.

After consideration of the relevant factors, the Court declines to stay this action. While it is true, as Hain Celestial urges in its reply, that “trial courts have inherent power to stay trials awaiting final appellate resolution of related actions that might conclusively determine all or some of the issues in the stayed action” (see Reply at 5:1-2, quoting *Koch-Ash v. Superior*

Court (1986) 180 Cal.App.3d 689, 696), the Ninth Circuit’s eventual opinion in *Howard* will not necessarily be “conclusive” on the issues in this action as that opinion will not be binding on the Court and this case involves claims predicated on California’s Sherman law, a state regulation whose interpretation is a matter of state law that this Court is equipped to determine. (See *Kopp v. Fair Pol. Practices Com.*, (1995) 11 Cal. 4th 607, 620.)

There is also nothing before the Court which suggests that this action was designed solely to harass Defendant, and Hain Celestial has not established that the rights of the parties in this action “can best be determined by the court of the other jurisdiction because of the nature of the subject matter, the availability of witnesses, or the stage to which the proceedings in the other court have already advanced.” (*Farmland, supra*, [(1957)] 48 Cal.2d at 215.) Finally, as Plaintiff argues in her opposition, the issuance of an opinion by the Ninth Circuit at some unknown point in the future might not necessarily end the *Howard* appeal, and therefore it is unclear how long this action could be stayed and Plaintiff delayed from litigating her claims. Given the foregoing, Defendant’s motion to stay this action is DENIED.

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Calendar Line 3

Case Name: *Carlos II, et al. v. Restoration Hardware, Inc. et al.*
Case No.: 25CV478939

This is a putative and representative action arising from alleged wage and hour violations. Defendants Restoration Hardware, Inc., RH Which Will Do Business in California as Restoration Hardware Holdings, Inc., and RH CA Hospitality, LLC (collectively, “Defendants” or “RH”) move for an order compelling plaintiff Edward Carlos II (“Plaintiff”) to arbitrate his individual claims, dismissing the class claims, and staying the non-individual Private Attorneys General Act (“PAGA”) claims. For the reasons discussed below, the Court GRANTS the motion.

I. Background

According to the operative First Amended Complaint (“FAC”), Defendants employed Plaintiff to work as a server at their RH Firehouse Grill at Montecito restaurant located in Santa Barbara, California. (FAC, ¶ 4.) The FAC pleads eleven causes of action, comprised of eight wage-and-hours claims under the Labor Code, a PAGA claim, and two claims under the Unfair Competition Law.

Defendants present evidence that Plaintiff electronically signed a “Mutual Agreement to Binding Arbitration of Claims | California” during his onboarding. (Tobola Decl., ¶¶ 5 –6, Ex. D (the “Agreement”).) Plaintiff signed the Agreement on November 15, 2024, through RH’s secure Oracle HCM portal. The Agreement bears the RH mark as well as the signature of Sandy Pilon, RH’s Chief People & Values Officer. By its terms, the Agreement broadly covers any dispute arising out of or relating to the plaintiff’s employment, including statutory claims and claims against affiliates and alleged joint employers.

The Agreement is governed by the Federal Arbitration Act and calls for arbitration before JAMS by a retired California Superior Court judge near where the plaintiff worked. It also requires a written and reasoned award and requires the Company to pay the arbitrator’s fees and costs. The Agreement also contains a class-action waiver, a representative-action waiver that applies “[t]o the extent allowable under applicable law,” and a severability clause.